

CHAPTER THREE

3. PLANNING

3.1. Introduction

Planning is the first managerial function that all managers perform at different levels. It is very important because it lays down the groundwork for the other functions. In view of this, you are required to study it having the above given objectives in mind.

Planning is a very interesting topic. You are therefore, strongly advised to see how your organization plans its budget or other projects while reading this unit. Use your dictionary to find meaning of words which are not familiar to you. If you face any problem in the unit do not hesitate to ask a person who is qualified..

Leaders are proactive; they make change happen instead of reacting to change. The future requires corporate leadership with the skills to integrate many unexpected and seemingly diverse events into its planning. Every organization must plan for change in order to reach its ultimate goal. Effective planning helps an organization adapt to change by identifying opportunities and avoiding problems. It sets the direction for the other functions of management and for teamwork. Planning improves decision-making. All levels of management engage in planning.

3.2. Meaning of Planning

What is planning?

“To plan is to produce a scheme for future action to bring about specified result, at specified cost, in a specified period of time. It is a deliberate attempt to influence, exploit, bring about and control the nature, direction, extent, speed and effect of change.” (Cyxil L. Hudson)

“Planning is a continuous process of making present entrepreneurial decisions systematically and with best possible knowledge of their futurity, organizing the efforts needed to carry out these decisions and measuring the results of these decisions and measuring the result of these decisions against the expectation through organized and systematic feedback.” (Peter Drucker).

Planning is a dynamic process of making decision today about future action and it is a selection or choice among alternatives as to accomplish:

- What objectives should be achieved?
- What actions should be taken?
- When should it be taken?
- Who should do it?
- Where should it be done?

In general the planning activity involves defining the organization’s objectives, establishing an overall strategy for achieving these goals and developing comprehensive hierarchy of plans to integrate or coordinate activities.

3.3. The Characteristics of Planning

Planning has the following characteristics

- i. *The contribution of planning to purpose/objectives:* Objectives are the very important reason for the existence of any organization, so every plan and its derivatives should facilitate the accomplishment of organizational objectives.

- ii. The primacy of planning: Planning logically precedes the execution /implementation of all other managerial functions. It involves establishing the objectives necessary for group effort; where as other managerial functions are designed to support the accomplishment of enterprise objectives. Even if planning precedes all other functions planning and controlling are inseparable by their very nature, i.e. all plans are standards and are means for controlling.
- iii. Planning is pervasive / universal: This means all managers from top to bottom carryout the planning function but at different scope and depth. It is doubtful to call a person a manager if he does not plan.
- iv. Efficiency of plan: planning is directed towards efficiency. We can measure the efficiency of a plan by its contribution to our purpose and objectives offset by the cost and other factors required to formulate and operate it. Plans are efficient if they achieve their purpose at a reasonable cost.
- v. Planning concerns future activity: A decision must be made as to what to do, how to do, who to do, when to do, where to do and what to achieve before it is actually done.
- vi. Planning and information: Basically there is no plan without information, for a plan to exist information is necessary.
- vii. Planning is a means to an end: Planning is not an end by itself, but a means to an end. It is an instrument that pushes human effort towards the achievement of objectives.

3.4. Importance of Planning

Planning may be important for the following purposes in an organization:

- i. **To coordinate efforts:** Management exists because the work of individuals and groups in organization must be coordinated; and planning is one important technique to achieve coordinated effort. By working towards planned objectives, the behavior of each part contributes to and is compatible with goals for the entire organizing action; i.e. planning helps to focus attention on objectives.
- ii. **To prepare for change / to offset uncertainty:** An effective plan of action allows room for change. The longer time between the completion of a plan and accomplishment of an objective, the greater the necessary to include contingency plans.
- iii. **To develop performance standards:** Plans define expected behavior, and in management terms they are performance standards. As plans are implemented throughout an organization the objectives and course of actions assigned to each individuals and groups are the bases for standards, which can be used to asses actual performance. This facilitates control of actual performance against expected performance.
- iv. **To develop managers:** Good planning involves the art of making difficult things simple. This requires high level of intellectual activity so that planners can be able to deal with complex, abstract ideas and information.

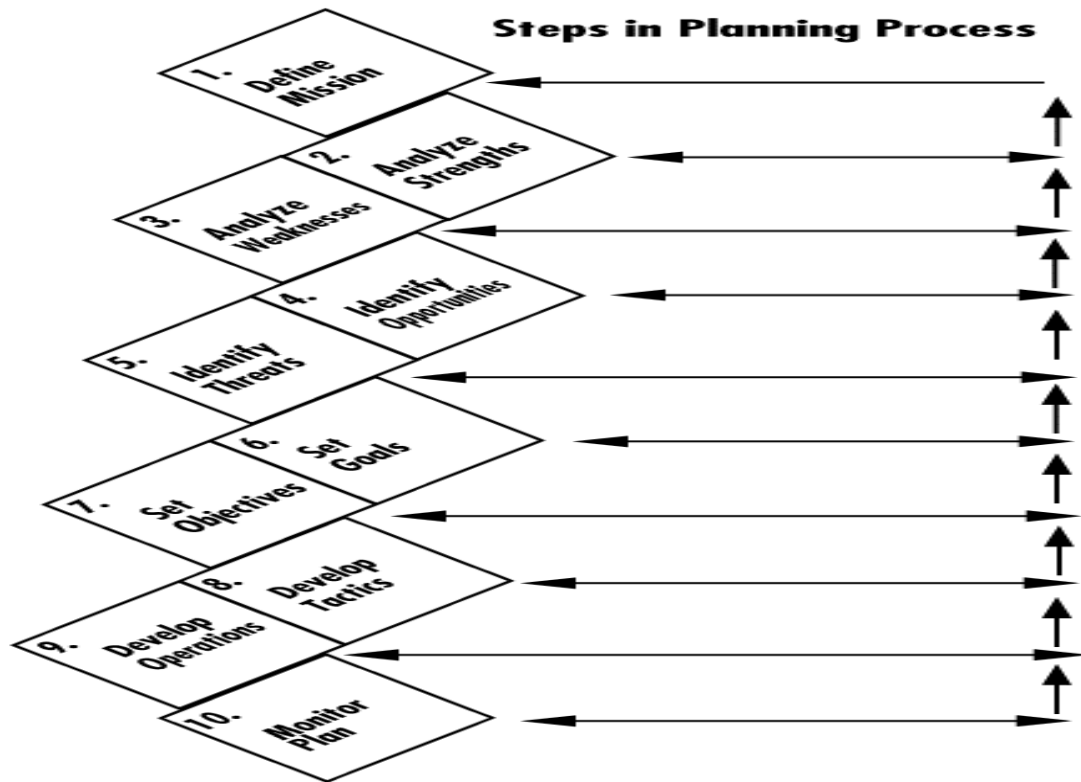
3.5. The Formal Planning Process

The planning process is rational and amenable to the scientific approach to problem solving. It consists of a logical and orderly series of steps. Strategic planning sets the stage for the rest of the organization's planning. The tasks of the strategic planning process include:

- i. Define the mission.
- ii. Conduct a situation or SWOT analysis

- iii. Set goals and objectives.
- iv. Develop related strategies (tactical and operational).
- v. Monitor the plan.

❖ *The detail steps in planning process are:*



i. Define the Mission.

A **mission** is the purpose of the organization. It is why the organization exists. Thus, planning begins with clearly defining the mission of the organization.

The **mission statement** is broad, yet clear and concise, summarizing what the organization does. It directs the organization, as well as all of its major functions and operations, to its best opportunities. Then, it leads to supporting tactical and operational plans, which, in turn leads to supporting objectives.

ii. Conduct a situation or SWOT analysis by Assessing Strengths and Weaknesses and identifying Opportunities and Threats.

Analyzing Strengths and Weaknesses comprises the internal assessment of the organization.

A situation or **SWOT** (Strengths, Weaknesses, Opportunities, and Threats) analysis is critical to the creation of any strategic plan. The SWOT analysis begins with a scan of the external environment. Organizations must examine their situation in order to seek opportunities and monitor threats. Sources of information include customers (internal and external), suppliers, governments (local, state, federal, international), professional or trade associations (conventions and exhibitions), journals and reports (scientific, professional, and trade).

SWOT is the assumptions and facts on which a plan will be based. Analyzing strengths and weaknesses comprises the internal assessment of the organization. Assess the **strengths** of

the organization. What makes the organization distinctive? (How efficient is our manufacturing? How skilled is our workforce? What is our market share? What financing is available? Do we have a superior reputation?) Assess the **weaknesses** of the organization. What are the vulnerable areas of the organization that could be exploited? (Are our facilities outdated? Is research and development adequate? Are our technologies obsolete?) What does the competition do well?

Analyzing Opportunities and Threats comprises the external assessment of the environment.

Identify **opportunities**. In which areas is the competition not meeting customer needs? (What are the possible new markets? What is the strength of the economy? Are our rivals weak? What are the emerging technologies? Is there a possibility of growth of existing market?)

Identify **threats**. In which areas does the competition meet customer needs more effectively? (Are there new competitors? Is there a shortage of resources? Are market tastes changing? What are the new regulations? What substitute products exist?) The best strategy is one that fits the organization's strengths to opportunities in the environment.

The SWOT analysis is used as a baseline for future improvement, as well as gap analysis. Comparing the organization to external **benchmarks** (the best practices) is used to assess current capabilities. Benchmarking systematically compares performance measures such as efficiency, effectiveness, or outcomes of an organization against similar measures from other internal or external organizations. This analysis helps uncover best practices that can be adopted for improvement.

iii. Set Goals and Objectives

Strategic goals and objectives are developed to bridge the gap between current capability and the mission. They are aligned with the mission and form the basis for the action plans. Objectives are sometimes referred to as performance goals. Generally, organizations have long-term objectives for such factors as return on investment, earnings per share, or size. Furthermore, they set minimum acceptable standards or common-sense minimums. In addition, certain limitations, either explicit or implicit, such as "must provide jobs for existing employees" may exist. Objectives elaborate on the mission statement and constitute a specific set of policy, programmatic, or management objectives for the programs and operations covered in the strategic plan. They are expressed in a manner that allows a future assessment of whether an objective has been achieved.

iv. Develop related strategies (tactical and operational)

Tactical plans are based on the organization's strategic plan. In turn, operational plans are based on the organization's tactical plans. These are specific plans that are needed for each task or supportive activity comprising the whole. Strategic, tactical, and operational planning must be accompanied by controls. Monitoring progress or providing for follow-up is intended to assure that plans are carried out properly and on time. Adjustments may need to be made to accommodate changes in the external and/or internal environment of the organization. A competitive advantage can be gained by adapting to the challenges.

- a. **Tactical Plans:** Top level managers set very general, long-term goals that require more than one year to achieve. Examples of long-term goals include long-term growth,

improved customer service, and increased profitability. Middle managers interpret these goals and develop tactical plans for their departments that can be accomplished within one year or less. In order to develop tactical plans, middle management needs detail reports (financial, operational, market, external environment). Tactical plans have shorter time frames and narrower scopes than strategic plans. Tactical planning provides the specific ideas for implementing the strategic plan. It is the process of making detailed decisions about what to do, which will do it, and how to do it.

- b. **Operational Plans:** Supervisors implement **operational plans** that are short-term and deal with the day-to-day work of their team. Short-term goals are aligned with the long-term goals and can be achieved within one year. Supervisors set standards, form schedules, secure resources, and report progress. They need very detailed reports about operations, personnel, materials, and equipment. The supervisor interprets higher management plans as they apply to his or her unit. Thus, operational plans support tactical plans. They are the supervisor's tools for executing daily, weekly, and monthly activities. An example is a **budget**, which is a plan that shows how money will be spent over a certain period of time. Other examples of planning by supervisors include scheduling the work of employees and identifying needs for staff and resources to meet future changes. Resources include employees, information, capital, facilities, machinery, equipment, supplies, and finances.

Operational plans include policies, procedures, methods, and rules. The terms themselves imply different degrees of scope.

- A **policy** is a general statement designed to guide employees' actions in recurring situations. It establishes broad limits, provides direction, but permits some initiative and discretion on the part of the supervisor. Thus, policies are guidelines.
- A **procedure** is a sequence of steps or operations describing how to carry out an activity and usually involves a group. It is more specific than a policy and establishes a customary way of handling a recurring activity. Thus, less discretion on the part of the supervisor is permissible in its application. An example of a procedure is the sequence of steps in routing of parts.
- A **method** sets up the manner and sequence of accomplishing a recurring, individual task. Almost no discretion is allowed. An example of a method is the steps in cashing a check.
- A **rule** is an established guide for conduct. Rules include definite things to do and not to do. There are no exceptions to the rules. An example of a rule is "No Smoking."
- **Monitor the plan.** A systematic method of monitoring the environment must be adopted to continuously improve the strategic planning process. To develop an environmental monitoring procedure, short-term standards for key variables that will tend to validate the long-range estimates must be established.

3.6. Components (Elements) Of Planning

While planning there are several elements needs to be considered. Some of them are explained as follows.

- i. **Objectives:** Objectives specify future conditions that a manger hopes to achieve. The following are the characteristics of sound objectives.

- **Priority of objectives:** This implies that a given time, accomplishing one objective is more important than accomplishing others. Priority of objectives also reflects the relative importance of certain objectives regardless of time.
- **Hierarchy of objectives:** Objectives are arranged in hierarchy from overall companywide objectives to individual objectives.
- **Organizational objectives should be stated in writing:** Objectives should be specific and communicated clearly to all so that all members of the organization are aware of what is expected from them. This eliminates ambiguity and confusion.
- **Objectives should be specific and measurable:** General objectives are difficult to interpret and measure.
- **Objectives should be realistic and attainable:** Over optimistic but unrealistic objectives serve as moral deflators and hence are ineffective.

There are two objective setting approaches.

a. A Cascade Approach: from Top to Lower Organizational Units, in this approach:

- The objective setting processes begin at the top with a clear and concise statement of central purpose of the organization.
- Long range organizational goals are formulated for this statement.
- The long-range goals lead to the establishment of more short-range performance objectives for the organization.
- Derivative objectives are then developed for each major division or department.
- Objectives are then established for the various sub units in each major division.
- The process continues down through the organizational hierarchy.

a. Management by Objectives (MBO): It is a system of management whereby managers work in conjunction with subordinates to identify goals and make plans for achieving them. MBO involves the following four steps.

- The manager explains the rationale and methodology of MBO to subordinates.
- The superior and subordinate meet to set objectives for the coming plan period.
- One or more intermediate review of performance is conducted to determine if the individual is making satisfactory progress towards attaining the established goals.
- At the conclusion of the time period set for the achievement of the objectives, a final review is conducted. In the review the manager should attempt to determine “what went wrong?” “What went right?”

ii. Course of Action: Course of action are the means or specific activities planned to achieve the objectives. For example: if increasing productivity is the objective of the organization, the alternative course of action would be: improve technology, employee training, management training, improved work conditions, etc.

Managers should select the least cost but the most effective strategy, policies, procedures, programs, rules, budgets and projects which are part of the action.

iii. Resources: The third phase in the planning function is budgeting resources for each important plan. Shortage of resources could be constraints on the course of actions, and therefore planning should be based on available resources.

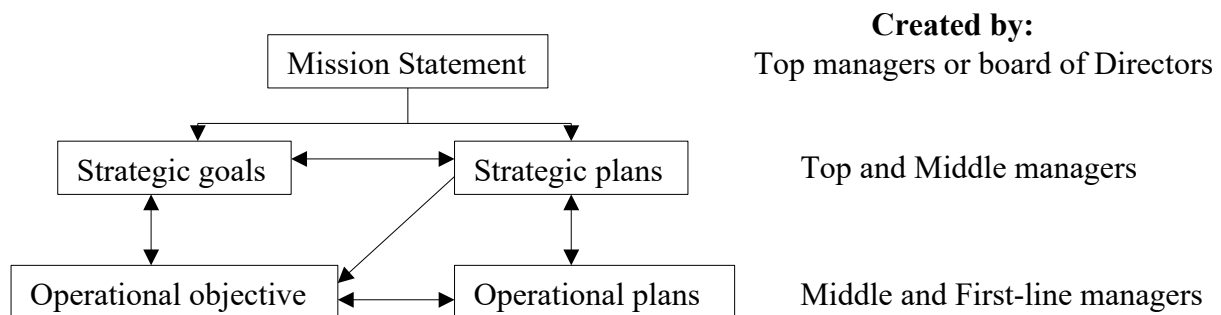
- iv. **Implementation of Plans:** Implementation involves the assignment and direction of personnel to carry out the plan. Authority and enabling employees to understand and accept organization policy are the manager's means of implementing plans.

3.7. Types of Planning

The modern organization is extremely complex. A multinational enterprise, for example, has to coordinate the actions of thousands of employees around the world. Thus it should come as no surprise that managers at all levels create plans to guide their subunits toward goals that will contribute to the organization's larger goals.

Organizations use two main types of plans.

Strategic plans are designed by top and middle managers to meet the organization's broad goals, while operational plans show how strategic plans will be implemented in day-to-day activities. At the top is the mission statement, a broad goal based on the organization's planning premises, basic assumptions about the organization's purpose, its values, its distinctive competencies, and its place in the world. A mission statement is a relatively permanent part of an organization's identity and can do much to unify and motivate its members.



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Operational plans involve out of strategic plans and mission statements. But you need to be aware of at least four major different cues between strategic and operational plans.

- **Time Horizons:** strategic plans tend to involve years or even decades. For example Coca-Cola had adopted a continent wide strategy for achieving its goal of making Europe its most profitable market in the 1990's.
- **Scope:** Strategic plans affect a wide range of organizational activities while operational plans have a more narrow and limited scope. For this reason some management writers distinguish between strategic goals and operational objectives.
- **Complexity and impact:** Often strategic goals are broad and deceptively simple. For example, cook's goals of making Europe its most profitable market in the 1990s. This strategy in turn, supported another strategic goal of increasing cookies visibility when coca cola shipped thousands of coke. Operational plans are complex.
- **Independence:** If the organization is to move forward effectively, operational goals and plans have to reflect strategic goals and plans, as well as the organizations larger mission.

Thus, cokes merchandisers receive specific training and guidelines about the company approved way to display Coca-Cola.

➤ **Generally organizational plan can be classifying in to different basis:**

i. Plans Based on Formality/Status

- a. Informal Plans: are unwritten plans which are made in the daily life of individuals.
- b. Formal Plans: are written, documented plans developed through an identifiable process.

ii. Plans Based on Scope/Breadth Dimension:

These types of plans refer to the level of management; i.e. they are related to the hierarchy of plans at the three levels of management. Therefore, based on where (in the organization's hierarchy of management) the plans are formulated, determines the classification of the plans into: strategic plans, tactical (intermediate) plans, and operational plans.

- a. **Strategic Plans:** Strategic plans are defined as plans that determine the major objectives of an organization and the policies and strategies designed by top-level management to govern the acquisition, use and disposition of resources to achieve organizational objectives.

The following are distinguishing characteristics of strategic plans.

- Strategic plans require looking outside of the organization at the external environment of the organization for threats and opportunities.
- They take longer period of time.
- They tend to top management responsibility
- They address such issues as:
 - ✓ How to allocate resources;
 - ✓ What the business is and what it should be.

- b. **Tactical Plans:** Top level managers set very general, long-term goals that require more than one year to achieve. Examples of long-term goals include long-term growth, improved customer service, and increased profitability. Middle managers interpret these goals and develop tactical plans for their departments that can be accomplished within one year or less. In order to develop tactical plans, middle management needs detail reports (financial, operational, market, external environment). Tactical plans have shorter time frames and narrower scopes than strategic plans. Tactical planning provides the specific ideas for implementing the strategic plan. It is the process of making detailed decisions about what to do, which will do it, and how to do it.

- c. **Operational Plans:** Supervisors implement **operational plans** that are short-term and deal with the day-to-day work of their team. Short-term goals are aligned with the long-term goals and can be achieved within one year. Supervisors set standards, form schedules, secure resources, and report progress. They need very detailed reports about operations, personnel, materials, and equipment.

iii. Plans Based on Time Dimension:

These plans show how long they stay in operation. Based on time frame or length of them, we can classify plans into three; these are

- a. **Long- term Plans:** - These plans establish long-term goals and work out strategies, policies and programs to achieve the goals. They extend beyond five years.

- b. **Medium-term Plans:** - These plans are usually made to support long-term plans. They cover a period of more than one year, but less than five years. Here the length of time may vary from one business to another depending on the nature, risk and other factors.
- c. **Short term Plans:** - Generally such types of plans are made to achieve short-term goal and are instrumental in implementing long-term plans. These plans are action oriented and the responsibility of lower level managers.

iv. Plans Based on Use Dimensions:

Use-based plans indicate whether we can use the plans repeatedly for uniformity or for a single period. Based on use dimension, plans could be further classified in to single-use plans and standing use plans. Let us see each one by one.

- a. **Single Use Plans:** These types of plans focus on relatively unique situations within the organization and are used only once. These plans can be subdivided into:

- ✓ **Programs:** programs are a complex of goals, policies, procedures, rules, task assignments, steps to be taken, resources to be employed and other elements necessary to carry out a given course of action. They are ordinarily supported by budgets. A primary program may call for many supporting programs, for example, the Ethiopian airlines may have a major program of acquiring a \$ 500 million fleet of jets within a period of two years.
- ✓ **Projects:** A project is a small and separate portion of a plan. Each project has limited scope and distinct directives concerning assignments and time. Projects are characterized by the following
 - They are a one-time activity or a unit activity with a well-defined set of desired end results.
 - They can be accomplished in order to achieve the project goals.
 - A project must often be coordinated with other projects being carried out by the same parent organization.
- ✓ **Budget:** Budgeting is the formulation of plans for given future period in numerical or financial terms. A budget is a financial plan outlining how funds will be spent in a given period of time and how these funds will be obtained. Budgets have to be based on past experience present realities and an accurate assessment of future events.

- b. **Standing Use Plans:** - These are plans which remain roughly the same for a long period of time and are used in organizational situations that occur repeatedly. The most common kinds of standing plans are:

- ✓ **Policies:** Policies are broad and general guides to action that constrains or direct and facilitate objective attainment. They do not tell organizational members exactly what to do but they do establish the boundaries within which they must operate and ensure that decision will be consistent with and contribute to an objective. Policy is a general statement or understanding which guides or channels thinking in decision making.
- ✓ **Procedures:** A procedure is a series of related steps or tasks expressed in chronological order for a specific purpose. Procedures are defined in step-by-step fashion through which policies are achieved. They are guides to action rather than to thinking and they give the details of the exact manner in which certain activities must be accomplished.

The following are some of the requirements for sound procedures.

- Procedures should be simple enough to be understood by those who implement them.
- They should be in writing
- They should be tested prior to full adoption.
- They should be well communicated so that they may be thoroughly understood by those who are required to follow them.
- ✓ **Rules:** Rules are statements that a specific action must or must not be taken in a given situation. Rules leave little doubt about what is to be done. They permit no flexibility and deviation. Unlike procedures, rules do not have to specify sequence. Procedures and rules are subsets of policies. Example of rule: Employee must wear safety clothes and equipment while operating their machines.

3.8. The Decision Making Process

Decision-making can be defined as a solution selected after examining several alternatives chosen because the decider foresees that the course of action he selects will be more than others to further his goals and will be accompanied by the fewest possible objectionable consequences. It is a process including information, choice of alternative actions, implementation and evaluation that is directed to the achievement of certain stated goals.

Decision making is:

- ✓ a selection process;
- ✓ the end process;
- ✓ the application of intellectual abilities to a great extent;
- ✓ a dynamic process;
- ✓ situational; and
- ✓ taken to achieve the objectives of an organization

Decision-making includes the evaluation of available alternatives through critical appraisal methods. A decision may be both negative and positive. A decision may direct others to do or not to do something.

Decision making is an integral part of human life, because one has to decide in his daily life what to do, where to do, when to do, etc. Managers should also make decisions while planning, organizing, staffing, directing and controlling.

Effective decision-making requires a rational selection of a course of action. Managers' goals can be reached under existing circumstances and limitations. They must also have the information and the ability to analyze and evaluate alternatives in the light of the goal sought. And finally, they must have a desire to come to the best solution by selecting the alternative that most effectively satisfies goal attainment. Thus, rationality implies making decisions based on facts, experience, experimentation or research and analysis with distinct procedures.

✓ *The following is a simple process followed in making decision in normal situations.*

- i. **Ascertain the Need for a Decision:** The decision making process begins by determining / identifying a problem. Problem arises due to difference between what is and what should be. So the manager should define what the problem is. Then, the manager should find the causes of a problem. A well-defined problem is half solved.

- ii. **Establish Decision Criteria:** Once the need for a decision has been determined, there comes the need to establish decision criteria which requires identifying those characteristics that are important in making the decision.
- iii. **Allocate Weights to Criteria:** The list of criteria must now be prioritized. Since some are obviously more important than others, there is a need to weight each criteria to reflect its importance in the decision.
- iv. **Develop Alternatives:** This includes developing a list of alternatives that may be viable in dealing with the stated problem. Creative thinking is necessary to develop or discover many alternative courses of action. If there is no alternative, there is no need of deciding. It is advisable to the manager that he should discover a number of alternatives. The problem of limiting factors is also considered by the manager.
- v. Some alternatives cannot be selected due to limiting factors. Time and cost are the probable limiting factors of an organization.
- vi. **Evaluate Alternatives:** The strengths and weaknesses of each alternative will become evident as they are compared against the criteria and weights established.

As we compare alternative courses of actions to achieve objectives, we should consider both quantitative factors and intangible or qualitative factors. To evaluate and compare qualitative factors, one should first recognize them and determine whether a reasonable quantitative measurement can be given to them. If not, one should try to find out as much as possible about them, perhaps rate them in terms of their importance, compare their probable influence with the results disclosed from evaluation of the quantitative factors, and then come to decision. Such a procedure is in effect, deciding up on the weight of the total evidence.

- ✓ **Tangible factors include** profits earned, time taken, money invested, rate of returns on investment, rate of depreciation, etc.
- ✓ **Intangible factors include** public relations, good will of the company, locality of employees, quality of labor relations, the risk of technological changes, the international political climate, etc.

Peter. F. Drucker has suggested the following criteria to evaluate the available alternative courses of action:

- a. Risk- Degree of risks are include in each alternative
- b. Economy of efforts- Cost, time and efforts are included in each alternative.
- c. Timing or situation –Whether the problem is urgent has to be considered.
- d. Limitations or resources – Physical, financial and human resources available in the organization need consideration
- vii. **Select the Best Alternative:** The decision maker can select the best alternative after careful evaluation an alternative which gives maximum benefits to the organization is selected. At the same time, the selected alternative should fit with organizational objectives. The following approaches may be adopted while selecting an alternative.
 - a. Experience: Select an alternative on the basis of past experience. Past decisions may be rationally amended to suit the present situation, because situations change.
 - b. Experimentation: Each alternative is put into practice and the results are observed under this approach. An alternative which gives best results will be selected. The approach which is expensive and time consuming, should be used rarely.

c. **Research and Analysis:** This approach is also rarely adopted.

viii. Putting Decision into Action: The future course of action is scheduled on the basis of selected alternative or decision. Here, the manager has to consider the policy of management. The decision is communicated to concerned persons. This communication facilitates easy implementation of decision. The language of decision should be simple and easily understandable.

Next, the manager has to implement the decision to achieve desired goals. Decision making process comes to an end with the actual implementation of the decision.

ix. Following Decisions: It is the duty of every manager to see whether the decision is properly implemented or not. The selected alternative may be ill-chosen on (due to many reasons) and might cause loss to the organization. This can be measured with the help of verifying the decision with the actual performance. If the manager feels that the selected alternative is not the best one, and amendment may be made to achieve desired goals.

These six main steps and the two additional steps in decision-making, of course, represent a simplification of the process